

the papers about such failures during every recession. Generally, if the debt of any kind of manufacturing or retail business is more than half of the company's total capitalization, there's a problem.

You also have to worry about what else is on the balance sheet. Look at the size of pension liabilities, for example. I want to see if the company is generating cash or simply accounting earnings. A lot of companies have some sort of goodwill or intangibles on their balance sheet that I may want to write down in my analysis. Examine inventories and receivables and their relation to revenues, and keep an especially sharp eye out for changes in those numbers. If a company normally has inventories running 25 percent of sales and suddenly you see inventories at 50 percent of sales, you'd better start asking some questions. It's possible the company is expanding rapidly and sales haven't shown up at its stores yet; that could be all right, just a sign of growth. But many times it's a sign of impending doom. It means the company has a growing stockpile of merchandise it can't sell.

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Financial strength is usually a virtue of companies that have been around awhile and are doing reasonably well, which is why I rarely invest in turnarounds, start-ups, or initial public offerings. What some people pay for glamorous IPOs never ceases to amaze me. I remember when biotechnology companies, such as Genentech and Cetus, first became public companies, back in the late seventies and early eighties. I understood that such marvelous-sounding technologies as recombinant DNA and monoclonal antibodies have enormous potential for future growth, so I took a very good look at the stocks.